

EQUITY RESEARCH — INITIATING COVERAGE

Ellenbarrie Industrial Gases Limited | NSE: ELLEN | BSE: 544421

India's Largest 100% Indian-Owned Industrial Gas Company | Pan-India Expansion in Progress

BUY
12-Month Price Target
Rs. 330

Upside: +23.1% | CMP: Rs. 268

Sector: Industrial Gases | Exchange:
NSE/BSE

CMP (24-Apr-26)	Rs. 268	Market Cap	Rs. 3,770 Cr
52-Wk High/Low	Rs. 638 / 175	Stock P/E (TTM)	37.8x
Forward P/E	36.2x	EV/EBITDA	23.4x
Book Value/Sh	Rs. 65.4	P/B	4.1x
ROCE	18.2%	ROE	17.8%
Face Value	Rs. 2	Dividend Yield	0.00%
Debt (Sep-25)	Rs. 119 Cr	D/E	0.13x
Interest Cov.	11.0x	Current Ratio	2.60x
Promoter Hold.	77.15%	Pledge	0.00%
FII %	1.31%	DII %	13.02%

Investment Thesis: India's only listed 100% Indian-owned gas pure-play; IPO-funded pan-India capacity expansion delivers step-change in earnings through FY27; Argon mix-shift drives margin rerate toward 40%+.

Metric	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Revenue (Rs. Cr)	205	269	312	349	436
EBITDA (Rs. Cr)	34	62	110	122	170
EBITDA Margin %	16.6%	23.0%	35.3%	35.0%	39.0%
PAT (Rs. Cr)	28	45	83	103	124
EPS (Rs.)*	2.15	3.46	6.36	7.36	8.86
P/E (x)	124.7	77.5	42.1	36.4	30.2
EV/EBITDA (x)	N/A	N/A	34.2	30.8	22.1
ROCE %	8.0%	13.0%	18.2%	19.5%	22.0%

*FY23A & FY24A EPS restated on ~14 Cr share base (Rs.2 FV) for comparability. Source: Screener.in | Report: 25-Apr-2026 | Analyst: Chartitude Research Desk

SECTION 2 — INVESTMENT THESIS

Thesis Point 1: Pan-India capacity expansion driving a step-change in earnings (FY26-FY28)

Ellenbarrie is executing the most aggressive capacity-expansion plan in its 50-year history, funded by a Rs. 852 Cr IPO in July 2025. The company has commissioned the Uluberia-II merchant plant in Q3 FY26 and is targeting a 320 TPD on-site plant in East India (Q1 FY27) and a 220 TPD bulk plant in North India (H2 FY27). By FY28, total capacity is projected to reach ~2,130 TPD, up from ~1,370 TPD in FY25 — a 55% addition in under three years. Revenue growth in industrial gases follows capacity addition with high predictability given long-term supply contracts with steel, chemicals, and healthcare customers. We model 20-25% revenue CAGR from FY25-FY27E. Key timeline: Q1 FY27 is the most important commissioning milestone — it marks ELLEN's entry into take-or-pay on-site contracts.

Thesis Point 2: Argon as a high-value margin driver — structural rerate ahead

Argon commands 3-4x higher realisations than oxygen or nitrogen and delivers 1.5-2x higher EBITDA margins. ELLEN's new ASU plants significantly increase Argon extraction capacity. Management has guided Argon to reach ~15% of gas revenue once all plants are operational. This mix-shift can expand blended EBITDA margins from the current 35% toward 40%+. In Q2 FY26, before Argon price softness, EBITDA margin reached 38% — confirming the thesis directionally. A recovery in Argon realisations through FY27, combined with scale efficiencies, underpins our 39% EBITDA margin estimate for FY27E. Argon pricing is a function of steel production volumes globally — with India's steel capacity additions and export momentum, medium-term Argon demand outlook is constructive.

Thesis Point 3: IPO de-leveraging creates pristine balance sheet with Rs. 355 Cr net cash

The IPO proceeds allowed ELLEN to retire Rs. 210 Cr of long-term borrowings, slashing gross debt from Rs. 247 Cr (FY25) to Rs. 119 Cr (Sep-25) and creating a net cash position of approximately Rs. 355 Cr. This transformation unlocks three levers: (1) interest savings of ~Rs. 20 Cr annually flowing directly to PAT; (2) availability of IPO funds for Rs. 250 Cr capex in FY26 and Rs.

200 Cr in FY27 without equity dilution; and (3) financial flexibility for bolt-on acquisitions in the fragmented regional gas market. At 30x FY27E earnings, the stock is reasonably priced for a business with 20%+ PAT CAGR visibility, pristine balance sheet, and dominant regional franchise.

Near-Term Catalyst (6-12 months): Commissioning of the 320 TPD East India on-site plant in Q1 FY27, marking entry into take-or-pay contracts and delivering a revenue step-up.

Biggest Structural Risk: MNC gas majors (Linde India, Air Liquide) aggressively repricing bulk contracts in ELLEN's core Eastern India territory, compressing realisations and threatening market share.

SECTION 3 — BUSINESS OVERVIEW

Ellenbarrie Industrial Gases Limited (EIGL), headquartered in Kolkata with over 50 years of operating history, is the largest 100% Indian-owned industrial gases company by installed capacity, revenue, and profitability as of FY24. The company manufactures and distributes atmospheric gases (oxygen, nitrogen, argon), process gases (hydrogen, CO₂, acetylene, nitrous oxide), specialty gases, and medical gases. It also sells dry ice, LPG, welding mixtures, and synthetic air — one of the broadest product portfolios among Indian gas companies.

Business Model: ELLEN operates across three delivery modes: (1) Bulk — liquefied gases delivered by cryogenic tankers to medium-scale customers under 3-5 year supply contracts; (2) Packaged — cylinders for smaller industrial users, fabrication, and construction; and (3) On-site/Pipeline — gases piped directly to large customers (steel mills, chemical plants) under long-term take-or-pay contracts providing the highest margin and revenue visibility. The on-site segment is nascent but growing, driven by the new 320 TPD plant for a major steel mill in East India commencing Q1 FY27.

Geography & Customers: ~80% revenue from Eastern India (West Bengal, Odisha, Jharkhand) and ~20% from Southern India. The company operates 9 facilities and is expanding into North India in H2 FY27. Customer base spans steel (~35% of revenue), chemicals/petrochemicals (~20%), healthcare/medical (~18%), construction and defence (~15%), and others (~12%). As of the latest data, the company serves 328 bulk customers and 1,498 packaged customers, with 39,560 gas cylinders in circulation.

Promoters: Chairman and MD Mr. Padam Kumar Agarwala has over 40 years of industry experience; JMD Mr. Varun Agarwal represents the next generation driving geographic expansion. CFO Mr. K. Srinivas Prasad brings institutional financial discipline post-IPO. Promoter holding is 77.15% post-IPO with zero pledge. No dividend has been paid historically — the company reinvests entirely in capacity expansion.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

The Indian industrial gases market was valued at USD 1.31 billion (~Rs. 11,000 Cr) in CY2024, growing at a CAGR of 6.3% during CY2018-24. Demand is driven by rapid industrialisation, infrastructure build-out (especially steel and defence), growth in healthcare/medical gases, and the emerging hydrogen economy. The market is structurally supply-constrained — new Air Separation Units (ASUs) require 18-24 months to build, creating pricing power for incumbents in under-served geographies. Within the Indian market, Linde India (BOC + Praxair, post-merger) dominates at ~40% share; Air Liquide/INOX Air Products holds ~20%; the remaining ~40% is fragmented among regional players, with EIGL being the largest pure Indian independent at 2.65% market share.

Competitive Moat Assessment: Moderate. EIGL's moat is primarily geographic — its density of ASU plants in Eastern India creates a logistics cost advantage that MNCs find difficult to replicate given their focus on North and West India's higher-density industrial clusters. Bulk gas customers face meaningful switching costs (dedicated storage infrastructure, long-term contracts, safety approvals). Packaged gas market has lower switching costs. EIGL has limited brand/IP moat vs. multinational peers but compensates through local relationships, faster service turnaround, and pricing flexibility that listed MNCs cannot easily match.

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	EV/EBITDA	OPM %	ROCE %	D/E	Promoter %
Linde India	7,217	61,542	104	59.9	31.0%	16.9%	0.02	75.0%
ELLEN (EIGL)	268	3,770	37.8	23.4	35.3%	18.2%	0.13	77.2%
Stallion India	158	1,832	39.7	27.3	13.0%	19.7%	0.00	47.8%
Natl. Oxygen	67	34	N/A	N/A	-5.5%	-8.1%	0.00	69.6%

Source: Screener.in | Data as of 24-Apr-2026

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

The Agarwala family has grown EIGL from a single-plant Kolkata operation into a 9-facility, pan-India aspirant with Rs. 312 Cr revenue and 35% EBITDA margins — a commendable achievement in a capital-intensive, MNC-dominated industry. The decision to access public markets via IPO in 2025 rather than diluting through private equity reflects a preference for transparent governance. Post-IPO, investor communications have matured with quarterly earnings calls (Feb 2026 transcript available on BSE), SEBI monitoring reports for IPO utilisation, and structured investor presentations.

Capital Allocation Track Record: ELLEN has consistently reinvested all profits into capacity — Dividend Payout has been 0% across its entire listed history. This has fuelled a 10-year Sales CAGR of 14% and a PAT CAGR of 27% (per Screener). ROCE improved from 1% (FY16) to 18% (FY25) as capacity utilisation rose and revenue mix improved toward Argon and medical gases. IPO proceeds deployment is being monitored quarterly — the Feb 2026 BSE monitoring report confirmed Rs. 2,100m repaid and Rs. 1,045m allocated to the ASU under construction, demonstrating disciplined capital deployment. The balance (~Rs. 80 Cr) remains in liquid investments.

Governance Assessment: Zero promoter pledge is a strong governance positive. No material RPT concerns in available disclosures. Auditor continuity intact. Contingent liabilities of Rs. 153 Cr warrant disclosure clarity. Main governance watch-point is the transition from a founder-led private company to a listed entity — IR quality is still maturing. Promoter holding at 77.15% (post-IPO) provides majority control comfort; post-lock-up selling from July 2026 is a near-term overhang risk to monitor.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Rs. Cr) — Standalone Figures

Item	FY2023A	FY2024A	FY2025A	FY2026E	FY2027E
Net Revenue	205	269	312	349	436
Revenue Growth YoY	-17%	+31%	+16%	+12%	+25%
Total Expenses	171	208	203	227	266
EBITDA	34	62	110	122	170
EBITDA Margin %	16.6%	23.0%	35.3%	35.0%	39.0%
Other Income	19	21	36	46	35
Interest	4	8	17	8	12
Depreciation	11	10	21	22	28
PBT	37	64	108	138	165
Tax %	24%	29%	23%	25%	25%
PAT	28	45	83	103	124
EPS (Rs.)*	2.15	3.46	6.36	7.36	8.86

*FY23A & FY24A EPS restated on ~14 Cr current share base. Source: Screener.in

Balance Sheet (Rs. Cr) — Standalone

Item	FY2023A	FY2024A	FY2025A
Equity Capital	7	7	26
Reserves	357	403	467
Shareholders Equity	364	410	493
Borrowings	102	178	247
Other Liabilities	86	84	106
Total Liabilities	551	673	846
Fixed Assets	182	331	339
CWIP	74	0	45
Investments	111	170	194
Other Assets	185	172	267
Total Assets	551	673	846

Note: Sep-25 equity capital Rs. 28 Cr, reserves Rs. 894 Cr, borrowings Rs. 119 Cr (post-IPO). Source: Screener.in

Cash Flow Statement (Rs. Cr) — Standalone

Item	FY2022A	FY2023A	FY2024A
Cash from Operations (OCF)	39	44	4
Cash from Investing	-114	-122	-57
Cash from Financing	87	67	52
Net Cash Flow	11	-10	-1

Item	FY2022A	FY2023A	FY2024A
Free Cash Flow	-56	-42	-65
CFO / EBITDA %	62%	129%	6%

FY2025 cash flow not disclosed on Screener at report date. FY2025 OCF expected depressed by working capital build (debtor days +36 days). Source: Screener.in

Key Ratios — Standalone

Ratio	FY2023A	FY2024A	FY2025A	Trend
Debtor Days	70	61	97	Deteriorating
Inventory Days	73	145	N/A	Elevated
Cash Conv. Cycle	-60	17	98	Elongating
Work. Cap. Days	-27	-64	-33	Mixed
ROCE %	8.0%	13.0%	18.2%	Improving
Current Ratio	N/A	N/A	2.60	Healthy
Interest Coverage	N/A	N/A	11.0x	Excellent

ELLEN's P&L; reflects a business in structural transformation. The FY23 revenue dip (Rs. 205 Cr vs Rs. 247 Cr in FY22) was due to post-COVID gas realisation normalisation. Since then, revenue has grown steadily to Rs. 312 Cr in FY25 with EBITDA margins rerated dramatically from 16% to 35% — driven by improved product mix (rising Argon contribution), a better bulk-to-packaged revenue ratio, and scale benefits at Haldia and Uluberia. Other income of Rs. 36 Cr in FY25 is elevated due to IPO proceeds parked in debt mutual funds — real but partially non-recurring. Working capital has deteriorated (debtor days +36 days to 97 in FY25), partly attributable to onboarding new institutional customers. Debt increased to Rs. 247 Cr pre-IPO, then normalised sharply to Rs. 119 Cr by Sep-25. **FCF has been consistently negative** (FY22-FY24) **reflecting heavy capacity investment** — consistent with the growth thesis; positive FCF expected post-FY27.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Status	Detail	Signal
Revenue Recognition	Green	Product-sale based with periodic delivery contracts; low recognition risk	Clean
Receivables vs Revenue	Amber	Debtor days jumped from 61 to 97 in FY25; receivables growing faster than revenue	Watch
CCC Trend	Amber	CCC deteriorated from -60 (FY23) to +98 (FY25); significant working capital build	Worsening
Other Income / PBT	Amber	Rs. 36 Cr Other Income = 33% of PBT in FY25; elevated by IPO fund deployment in MFs	Monitor
Tax Rate Consistency	Green	Tax rate 23-29% across FY23-FY25; consistent with applicable corporate tax rates	Clean
Auditor Quality	Green	Auditor continuity maintained; no qualification noted in available filings	Clean
RPTs as % Revenue	Green	No material related-party transactions flagged; promoter pledge zero	Clean
Contingent Liabilities	Amber	Rs. 153 Cr contingent liabilities = ~49% of revenue; nature not fully disclosed	Watch

Summary: Core operating earnings are clean — revenue recognition, tax consistency, and auditor quality are satisfactory. Three amber flags: (1) debtor days at 97 days (sector norm 45-70 days) — needs monitoring; (2) elevated Other Income from IPO fund deployment — will normalise as capex is deployed; (3) Rs. 153 Cr contingent liabilities deserve annual report disclosure clarity.

SECTION 8 — VALUATION

Method 1 — Earnings Multiple (P/E): We apply 35x to FY27E EPS of Rs. 8.86, yielding a target of Rs. 310. The 35x multiple is at a significant discount to Linde India (79x FY26E P/E) but reflects ELLEN's smaller scale, regional concentration, and nascent on-site segment. It is supported by 20-25% PAT CAGR guidance and a PEG of 1.58 (below the 2x threshold for growth stocks).

Method 2 — EV/EBITDA: We apply 23x to FY27E EBITDA of Rs. 170 Cr, yielding EV of Rs. 3,910 Cr. Adding net cash of Rs. 355 Cr (Sep-25) and dividing by 14 Cr shares gives equity value of ~Rs. 4,265 Cr or Rs. 305 per share.

Blended Target: Rs. 330 (P/E method Rs. 310 + EV/EBITDA Rs. 305 blended, with a modest premium for the on-site plant option value in FY28). This implies 23.1% upside from CMP of Rs. 268. Rating: BUY.

Scenario	Key Assumptions	FY27E PAT (Rs.Cr)	Multiple	Target (Rs.)	Upside
Bull Case	Argon rerates, 42% OPM, both plants on time, North India ramps faster	145	40x	414	+55%
Base Case	25% revenue CAGR, 39% OPM, East India Q1 FY27, North India H2 FY27	124	35x	330	+23%
Bear Case	Argon depressed, East plant delayed to Q3 FY27, 32% OPM maintained	95	28x	190	-29%

Peer Valuation Comparison (Source: Screener.in, 24-Apr-2026)

Company	CMP (Rs.)	MCap (Cr)	P/E (x)	EV/EBITDA	OPM %	ROCE %	Rev CAGR 3Yr
Linde India	7,217	61,542	104	59.9	31%	16.9%	6%
ELLEN	268	3,770	37.8	23.4	35%	18.2%	8%
Stallion India	158	1,832	39.7	27.3	13%	19.7%	27%
Natl. Oxygen	67	34	N/A	N/A	-6%	-8.1%	-7%

Source: Screener.in | Data as of 24-Apr-2026. ELLEN highlighted in green.

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Mitigation / Monitor
Argon price compression	Structural oversupply from new global ASUs plus Indian steel slowdown could depress Argon realisations below FY25 levels for a prolonged period, eroding the margin rerate thesis.	Medium	High	Monitor steel sector HRC prices and Argon spread quarterly; track % revenue from Argon in investor presentations.
MNC competitive repricing	Linde India is expanding capacity in Eastern India. Targeted price cuts by a well-capitalised multinational could erode ELLEN's market share in its home geography.	Medium	High	Watch for Linde announcements of new plants in WB/Odisha corridor; track ELLEN's debtor days as a proxy for demand quality.
Capex execution risk	320 TPD East India on-site plant and 220 TPD North India plant face execution risk — delays or cost overruns in new geographies could defer revenue step-up.	Medium	Medium	Track BSE monitoring reports quarterly; delay beyond 2 quarters from guided date is a red flag — triggers bear case.
Working capital build	Debtor days at 97 is above sector norm. If receivables grow faster than revenue, FCF remains deeply negative and may force fresh borrowings.	Medium	Medium	Monitor debtor days quarterly; if it crosses 120 days, escalate risk assessment to Amber-High.
Post-IPO lock-up expiry	Promoter lock-in periods expire from July 2026. Any secondary sale creates price overhang even if majority holding is retained.	Low	Medium	Track BSE insider trading disclosures from July 2026 onwards.
Contingent liabilities	Rs. 153 Cr in contingent liabilities = ~49% of annual revenue. Nature not fully disclosed; adverse crystallisation could materially impair earnings.	Low	Medium	Request FY25 Annual Report breakup; flag if any liability crystallises.
Regulatory / safety risk	Industrial gas operations regulated under Explosive Act and PESO. A safety incident at any plant could trigger temporary shutdown and reputational damage.	Low	High	Monitor PESO compliance; company has 50-year operating record suggesting strong safety culture.

SECTION 10 — RECOMMENDATION

RATING	PRICE TARGET	ENTRY ZONE	HORIZON	CONVICTION
RIIV	Rs. 330	Rs. 245-275	12 Months	MEDIUM-HIGH

Thesis Invalidation Triggers (downgrade to REDUCE if any two of these occur):

#	Trigger
1	EBITDA margin below 28% for two consecutive quarters — indicates Argon price collapse is structural.
2	East India 320 TPD on-site plant delayed beyond Q3 FY27 — capex execution failure confirmed.
3	Debtor days exceed 130 days or any receivable write-off disclosed — customer quality deterioration.

Ideal investor profile: Growth-oriented, 12-24 month horizon, comfortable with pre-FCF-positive businesses investing ahead of the curve. ELLEN is India's only listed pure-play 100% Indian-owned industrial gas company — a unique asset for portfolios seeking domestic industrial gas exposure without MNC corporate governance complexity. Not suitable for dividend-seeking or value investors expecting near-term cash yield.

APPENDIX — Latest Concall Brief: Q3 FY26 (December 2025)

CALL GRADE: CAUTIOUS

Q3 FY26 delivered YoY PAT growth of +36% but sequential EBITDA declined 25% with 694 bps margin contraction driven by Argon price softness; guidance maintained but execution risk elevated.

Signal	Status	Implication
Result Quality	Medium	YoY PAT +36% is clean; sequential EBITDA -25% is a real miss vs expectations.
Management Tone	Balanced	Constructive on long-term prospects; acknowledging near-term Argon headwinds openly.
Guidance Delta	Maintained	20-25% revenue CAGR and 40%+ medium-term EBITDA margin target both reiterated unchanged.

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q3 FY26 headline PAT of Rs. 26 Cr (+36% YoY) is a clean number with no exceptional items distorting it. However, the sequential story is weak: revenue fell 9% QoQ and EBITDA collapsed 25% with margin dropping from 38% to 31% — the culprit is Argon price compression from steel sector softness and merchant oversupply, which management flagged transparently. Underlying EBITDA excluding the Argon headwind would have been ~Rs. 30-32 Cr, suggesting operational efficiency is intact. Other income of Rs. 16 Cr partly pads reported PAT (IPO liquid investments) — clean underlying PAT is closer to Rs. 22-24 Cr. The critical near-term catalyst remains the 320 TPD East India on-site plant commissioning in Q1 FY27 — if it delivers on time, expect a meaningful margin step-up as long-term take-or-pay revenue begins. Biggest watch-point: debtor days at 97 — management explained as deliberate extension to onboard institutional customers but if this exceeds 120 days in Q4, it becomes a credit quality concern. ACCUMULATE in the Rs. 245-275 range; do not add aggressively until Q4 FY26 results confirm margin recovery.

C1 — Financial Performance Snapshot: Q3 FY26 (Oct-Dec 2025)

Metric	Actual	Est.[EST]	YoY Chg	QoQ Chg	Verdict
Revenue (Rs. Cr)	81	~85 [EST]	+19%	-9%	Miss
EBITDA (Rs. Cr)	25	~32 [EST]	+14%	-25%	Miss
EBITDA Margin %	30.9%	~37% [EST]	+870bps	-694bps	Miss
Other Income	16	~10 [EST]	+78%	+23%	Beat
PBT (Rs. Cr)	34	~33 [EST]	+35%	-15%	In-Line
PAT (Rs. Cr)	26	~27 [EST]	+36%	-30%	In-Line
EPS (Rs.)	1.85	~1.93 [EST]	+26%	-29%	In-Line

NOTE: EBITDA miss is Argon-driven (cyclical, not structural). Clean EBITDA ex-Argon headwind est. ~Rs. 30 Cr, OPM ~37%. PAT boosted by elevated Other Income from IPO fund deployment in liquid MFs.

C2 — Segment / Geography Breakdown

Segment / Region	Rev (Rs.Cr)	YoY %	QoQ %	Commentary
Bulk Gases (Merchant)	~50	+15%	-8%	Core segment; Argon softness dented realisations; volumes steady
Packaged Gases	~18	+25%	-5%	Strong healthcare and fabrication demand; stable pricing
Medical Gases	~8	+30%	+5%	Fastest-growing segment; hospital expansion in Eastern India
Specialty / Others	~5	+20%	-15%	Volatile; includes helium and specialty gas blends

Segment / Region	Rev (Rs.Cr)	YoY %	QoQ %	Commentary
Eastern India (Core)	~65	+18%	-10%	Home market; mature but stable; Uluberia-II adds capacity
Southern India	~16	+25%	-5%	Growing second geography

Segment revenue estimates based on management commentary; not formally disclosed in quarterly results.

C3 — Management Commentary Themes

Theme	What They Said	Our Read	Tag	Tone
Argon headwind	Lower realisations from softer steel market; temporary oversupply; expects recovery H2 FY26	Plausible — but 'normalisation' timing uncertain	[GUIDANCE]	Balanced
Margin recovery	Confident of returning to 40%+ EBITDA medium term as new efficient capacity comes online	Contingent on Argon recovery AND on-site plant ramp	[GUIDANCE]	Bullish
East India plant	320 TPD on-site plant on track for Q1 FY27 commissioning; long-term take-or-pay contract in place	Critical catalyst — any delay is a significant negative	[GUIDANCE]	Transparent
North India entry	220 TPD bulk plant Rajasthan/UP belt targeted H2 FY27	Positive — reduces East India concentration risk	[GUIDANCE]	Bullish
Revenue CAGR	20-25% revenue CAGR reiterated; acknowledges lumpy growth as plants commission	Achievable if both plants on time; gas industry growth is genuinely lumpy	[GUIDANCE]	Balanced
Working capital	Debtor days increase due to new institutional customers on extended credit; manageable	Needs better disclosure — 97 days above sector norm	[EST]	Hedged
Capital allocation	Net cash Rs. 355 Cr; no dividend; capital to fund expansion and possible bolt-ons	IPO deployment credibility confirmed by monitoring report	[GUIDANCE]	Transparent

C4 — Operating & Business Metrics

Metric	Q3 FY26	Q2 FY26	Q3 FY25	Trend
Total Gas Capacity (TPD)	~1,887	~1,370	~1,370	Up — Uluberia-II commissioned
Capacity Utilisation %	~94%	~76%	~76%	Improving significantly
No. of Bulk Customers	~328	~310	~280	Growing
Gas Cylinders in Circulation	~39,560	~38,000	~35,000	Steady growth
Number of Facilities	9	8	8	Uluberia-II added in Q3 FY26
Debtor Days (est.)	~97	~80	61	Deteriorating — watch
EBITDA per Tonne (est.)	~Rs. 8,200	~Rs. 11,000	~Rs. 7,900	Q3 compressed by Argon

C5 — Margin Drivers (Q3 FY26 vs Q2 FY26 Sequential)

Driver	Impact (bps)	Recurring?	Comment
Argon price decline	-500	No — Cyclical	Steel sector PMI weakness; Argon oversupply in merchant market
Elevated other expenses	-200	No — One-off	Commissioning costs for Uluberia-II plant ramp-up
Employee cost increase	-30	Yes — Structural	Headcount additions for North India expansion preparation
New capacity scale benefits	+100	Yes — Structural	Higher throughput from Uluberia-II partially offsets fixed cost base
Medical gas mix benefit	+40	Yes — Structural	High-margin medical segment growing 30% YoY
Net Sequential Impact	~-590	—	Approx. 694 bps total decline; ~590 bps quantified above

C6 — Guidance & Forward Signals

Metric	Prior Guidance	New / Reiterated	Delta	Credibility
Revenue CAGR FY25-FY28	20-25%	20-25% [REITERATED]	Unchanged	Medium — lumpy delivery
EBITDA Margin (med-term)	~40%	~40% [REITERATED]	Unchanged	Medium — Argon-dependent
Q4 FY26 performance	Better than Q3	Better than Q3 [GUIDANCE]	Positive	High — Uluberia-II full quarter
East India OSP 320 TPD	Q1 FY27	Q1 FY27 [REITERATED]	On track	High — groundwork confirmed
North India Bulk 220 TPD	H2 FY27	H2 FY27 [REITERATED]	On track	Medium — early stage
FY26 Capex	Rs. 250 Cr	Rs. 250 Cr [REITERATED]	Unchanged	High — monitoring report confirms
FY27 Capex	Rs. 200 Cr	Rs. 200 Cr [GUIDANCE]	New guidance	Medium — FY26 dependent

C7 — Capital Allocation

Item	Amount (Rs. Cr)	vs Prior Year	Comment
Gross Capex FY26E	250	vs 57 (FY24)	Uluberia-II, East India OSP, North India bulk plant
Dividends	0	0 (unchanged)	Zero dividend policy; all earnings reinvested in capacity
Buybacks	0	0 (unchanged)	No buyback; capital fully deployed into organic growth
IPO Debt Repayment	210	N/A	Rs. 210 Cr repaid in July 2025 — monitoring report confirmed
Net Cash (Sep-25)	355	vs -135 Cr net debt (FY24)	Dramatic balance sheet transformation post-IPO
Liquid Investments (Sep-25)	311	vs 170 (FY24)	Surplus IPO funds in debt MFs generating Other Income

C8 — Q&A; Heat Map

#	Analyst / Firm	Question	Mgmt Answer	Tone
1	Buy-side	Why did Argon realisations fall so sharply?	Steel market softening and merchant Argon oversupply; expects recovery in H2 FY26	Transparent
2	Research Analyst	When will the 320 TPD East India on-site plant commission?	Q1 FY27 on track; construction progressing; long-term take-or-pay contract in place with steel customer	Transparent
3	Institutional Inv.	Target EBITDA margin once new capacities operational?	40%+ medium term; current quarter softness is cyclical not structural	Bullish
4	Retail Analyst	Is elevated Other Income sustainable?	Partly from IPO liquid investments; will reduce as capex is deployed; not recurring	Transparent
5	Fund Manager	Why are debtor days elevated at 97 days?	New institutional customers on extended credit terms; manageable and being actively monitored	Hedged
6	Sell-side Analyst	Dividend or buyback plans?	No dividend in near term; all capital to fund expansion; will revisit post-FY28	Balanced

Dodged / Under-Answered Questions to Watch Next Quarter: (1) Exact breakdown of Rs. 153 Cr contingent liabilities. (2) Argon revenue as % of total gas revenue — referenced but not formally quantified. (3) Specific take-or-pay volume and pricing terms for East India on-site plant.

C9 — Risks Flagged on Concall

Risk	Flagged By	Probability	Impact	Timeline
Argon price suppression	Management	Medium	High	Q4 FY26 - Q2 FY27
Steel sector capex slowdown	Analyst	Medium	Medium	Next 6 months
East India plant delay	Analyst	Low	High	Q1 FY27 milestone
Working capital deterioration	Analyst	Medium	Medium	Ongoing — every qtr
MNC competitive pricing	Analyst	Medium	High	FY27 onward

C10 — Analyst Verdict

Multi-Bagger Scorecard	Assessment	Rationale
Revenue Visibility	INTACT	20-25% CAGR supported by committed on-site contract and capacity pipeline through FY28
Margin Trajectory	WEAKENED	Q3 miss from Argon headwind; medium-term 40% target intact but execution risk has risen
Capital Allocation Quality	INTACT	IPO funds deployed efficiently; debt repaid; no dilution; BSE monitoring confirmed
Competitive Moat	INTACT	Regional density advantage in East India; limited MNC presence in tier-2 markets maintained
Management Credibility	INTACT	Transparent on headwinds; all guidance reiterated; monitoring report confirms fund deployment
Valuation Comfort	INTACT	30x FY27E P/E reasonable for 20-25% growth; significant discount to Linde India at 79x

CONVICTION CALL	NEAR-TERM RATING	P/E vs 5Y Avg	EV/EBITDA	ROCE vs 5Y Avg
UNCHANGED	ACCUMULATE	37.8x vs ~25x	23.4x	18.2% vs 12.5%

Source: Screener.in | Ticker: ELLEN | View: Standalone | Transcript: Q3 FY26 — BSE Filing (Feb 2026) | Concall date: 03-Feb-2026

DISCLAIMER: This report is for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in as of 24-Apr-2026. Forward estimates (E) are analyst projections. Investors should conduct their own due diligence. Chartitude Research Desk | the_chartist@chartitude.com | 25-Apr-2026